THE PRIME MINISTER'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
LONGIDO DISTRICT MID TERM JOINT EXAMINATION

FORM THREE
061 COMMERCE

Time: 3 Hours **Monday, 31st august 2026 a.m.**

Instructions

1. This paper consists of **three** sections, A, B, and C, with a total of **eleven** questions.
2. Answer **all** questions in sections A and B, and **two** questions from section C.
3. Section A carries **sixteen** marks, Section B carries **fifty-four** marks, and Section C carries **thirty** marks.
4. All writings should be in blue or black ink, except for diagrams, which must be drawn in pencil.
5. Communication devices and unauthorized materials are **not** allowed in the examination room.
6. Write your **Examination Number** on every page of your answer booklet(s) provided

SECTION A (16 MARKS)

Answer **all** questions in this section.

1. For each of the items (i) – (x), choose the correct answer from among the given alternatives and write its letter beside the item number in your answer booklet.

(i) Assume the Tanzania government has agreed to sell tanzanite minerals to German, China and France; what will be the types of international trade agreement between Tanzania and those countries basing on that trade?

A. Export trade
B. Import trade
C. Bilateral trade
D. Multilateral trade
E. External trade

(ii) Assume you're a production manager at one of soft drink Company, which among the following is there to ensure drinks in bottles have the same compositions and volume?

A. Pricing
B. Branding
C. Grading
D. Standardizing.
E. Sales promotion

(iii) Nowadays mobile phones are more applicable in facilitating business issues more than any other communication media. Which of the following cannot be considered as its advantages?

A. Easy to communicate with distance customers
B. Gives immediate feedback
C. Saves time since communication is instant
D. Smart phones enable easy sharing of images and videos in social medias just like computers
E. Buyer and sellers can easily make direct contact among them

(iv) Which of the following terms can be used to describe the international trade price agreement where goods are supposed to be transported by an exporter up to buyer's place of residence or business
A. Free on-board
B. Franco domicile
C. Free alongside ship
D. Costs insurance and freight
E. Costs insurance freight and free out

(v) The quantities of sugar bought by madam Jane has increased from 50 kilos to 70 kilos after the decrease in price from 2500/= to 1500/=. What is the price elasticity of demand?
A. Inelastic demand
B. Elastic demand
C. Unitary demand
D. Perfect elastic demand
E. Perfect inelastic demand

(vi) Assume you have received and accepted the bill of exchange which mature three months from now. What will you do if you want to get money before its maturity time?
A. Dishonor that bill of exchange
B. Discount the bill of exchange at the bank
C. Endorse that bill of exchange
D. Sell the right of the bill to third party
E. Refuse to sign the bill of exchange

(vii) Suppose you are an exporter and you have been required to write a document which will allow the bank in importing country to sell or possess those goods sent since an importer fail to pay that bank as agreed before. Which document will you write?
A. A letter of hypothecation
B. A letter of credit
C. Consular invoice
D. Certificate of insurance
E. Bill of lading

(viii) Suppose Azam food processing limited decides to use Ukwaju to make Ukwaju ice cream to meet the desire of students who like ice cream. Which type of utility does Azam Company creates?
A. Form utility
B. Time utility
C. Place utility
D. Marginal utility
E. Possession utility

(ix) Seypalm is a large-scale retailer who wants to identify the fast-moving goods in his business. Which stock calculation will Seypalm apply to arrive at the correct identification?

A. Average stock
B. Rate of stock turn
C. Cost of goods sold
D. Order point
E. Margin

(x) Which method would Tanzania adopt if she wants to completely restrict importation of sugar from Zambia?

A. Imposing heavy import duties
B. Total ban
C. Provision of custom drawback
D. Using government agencies
E. Fixing import quotas

2. Match the descriptions of marketing concepts in List A with their corresponding names in List B by writing the letter of the correct answer beside the item number in the answer booklet provided.

List A	List B
(i) The name, mark, symbol or sign given to a product with the aim of identifying the product and differentiate it from the competitors' product. (ii) Involves anything that can be offered in the market for attention acquisition or use of normally involves goods or services. (iii) Involves making goods of the same type equal in terms of size, taste and quantity. (iv) A part of brand which is given legal protection but it is capable for exclusive appropriation. (v) Refers to the exclusive legal rights to reproduce, publish and sell product in the form of literary or artistic work. (vi) A part of brand which can be pronounced when a buyer orders for a product.	A. Brand name B. Copy rights C. Brand D. Product E. Trade mark F. Branding G. Symbols H. Market research I. Standardization J. Marketing mix

SECTION B (54 MARKS)

Answer **all** questions in this section.

3. The business of Mrs. peter showed the following information as on 31st December 2024. Stock at start TZS 50,000/=; Sales TZS 145,000/=, Purchases TZS 82,000/= and stock at 31st December 2024 was TZS 25,000/=. Use the information provided to calculate:

(a) Average stock
(b) Cost of sales
(c) Gross profit
(d) Rate of stockturn
(e) margin

4. In spite of Tanzania having a meter gauge railway from Dar es salaam to Dodoma, still the government of Tanzania is currently expanding the construction of the standard gauge railway (SGR) to replace the old one. Explain six expected merits of standard gauge railway soon after accomplishment of this project.

5. Product differentiation is common in different countries. Due to this fact, the exchange of goods and services among countries is inevitable. Discuss six points.

6. In modern business world, it's vital for sellers to communicate effectively with the buyers, as business student briefly explain five business documents used for business dealers.

7. In order to maintain the value of the currency unit and ensure that there is just right quantity of money in circulation in the country, a central bank should take appropriate steps towards credit control. What are the methods employed by central bank in East Africa on credit control? (Give six points)

8. Before remitting loans to its borrowers, banks have to assess the credit worthiness of its borrowers. Describe the qualities of a good borrower (six points).

SECTION C (30 MARKS)

Answer **two** questions from this section.

9. Ahmed and Joshua are new entrepreneur in the market and have come back to seek advice from you. They are currently looking for new sources of financial capital to finance their business operations. Assist them in identifying six different sources of financial capital to finance their business operations.

10. A suddenly decrease in demand for Esha juice with a popular brand "Embe dodo" influences her to approach marketing specialist who advises her to adopt marketing mix promotion techniques (sales technique) which might stimulate customer's preference. Identify six tools that will be adopted by her.

11. A grandmother of 100 years' old who experienced barter trade system was narrating to her grandchildren about the hindrances they faced during barter trade. What do you think the grandmother was narrating to her grandchildren? Briefly explain them giving six points.